Canon
CANON MEXICANA, S. DE R.L. DE C.V.

TITLE: POLICY OPERATIONS WITH THIRD PARTIES MANAGEMENT					
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1. Objective: Establish the operations management framework with third parties that provide services to the company or to which the company provides services, considering the requirements indicated in:

a. Federal Labor Law;
b. Income Tax Law (I.S.R.);
c. Value Added Tax Law (I.V.A);
d. Social Security Law (I.M.S.S.);
e. Instituto del Fondo Nacional para los Trabajadores (INFONAVIT) Law; and
F. Local State Payroll Laws.

2. Scope: This policy applies to all suppliers and customers of Canon Mexicana, S. de R.L. of C.V., with which there is a contractual relationship that implies the provision of services, including but not limited to:

a. Customers with whom lease agreements have been concluded on Canon equipment and that include the provision of operator services;
b. ITCG promotion services;
c. BICG operators;
d. Maintenance of BICG;
e. Operation of distribution and storage processes;
f. Merchandise delivery services;
g. Security services;
h. Administrative staff services;

3. Glossary:

Canon: Canon Mexicana, S. de R.L. de C.V.

PREPARED:	REVISED:	AUTHORIZED:
Eduardo López Terán	Carolina Mejia	Carolina Mejia
Audit Advisor	V.P. Administration	V.P. Administration
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Transactions with third parties: Any commercial activity between Canon employees and an external party, mainly customers and suppliers.

Service providers: Professional service providers and outsourcing service providers.

Provision of professional services: Transactions with third parties, except for outsourcing.

Outsourcing: Legal figure described by the Federal Labor Law in its article 15-A, that states:

"The work under outsourcing scheme is that in which an employer named contractor executes works or provide services through workers under his direct dependency, in favor of a hiring contractor, physical individual or legal entity, which sets the contractor tasks and supervises the services development or hired works execution.

This type of work must accomplish with the following requirements:

a) Can't be hired for the totality of the activities, the same or totally similar, to those that are developed in the work center.

b) Must be justified for the specialization involved.

c) Can't be related to the same or similar tasks to those that are performed for the other employees hired by the hiring contractor.

If all of these requirements are fulfilled, the hiring contractor will be considered as employer to this law effects, including liabilities related to Social Security."

NDA: Non-Disclosure Agreement.

4. General Guidelines:

4.1 The Legal Department of Canon is the only one authorized to determine the figure of outsourcing or provision of services.

4.2 Being considered a highly critical process, the breach of this Policy will be subject to the application of disciplinary measures determined by the Legal and Human Resources Department.

4.3 The initial considerations to identify transactions with third parties are the identification and existence of:

a. The provision of services by Canon direct employees or subcontracted by it, to a third party.
b. The provision of service by a third party to Canon.
c. Lack of payment for the delivery or receipt of only product.
d. Similar activities as those performed by Canon employees.

4.4 All information regarding transactions with third parties must be in Spanish.

4.5 For no reason, operations should be carried out with third parties without a contract reviewed and authorized by the Legal Department.

4.6 Service providers with whom specific information about Canon products or process operations is shared must have an NDA.

4.7 Under no circumstances will be accepted changes to the contracts reviewed by the legal area, except in writing by the Legal Vice Presidency.

4.8 The review of the contracts in the scope of this policy will be considered initiated until the complete documentation has been delivered to the Legal Department.

4.9 To register as suppliers, the vendors under the scope of this policy, in addition to the documents established by the Accounting department or the Purchasing Department, it will be required, without being limitative:

In all cases:

a. Company Charter;

b. Employer Register;

c. Power of attorney from the legal representative;

d. Proof of address not older than three months;

i. Federal taxpayer registration; and

j. Any additional deliverables and their periodicity must be described in the contract.

4.10 The concept determined in the contract must be consistent with the concepts of billing, accounting records, and collectively reflect the nature of the operation.

No documented records of transactions with third parties may contain descriptions that may be interpreted as salaries, payroll, bonus, commissions, compensation, benefits or similar.

It must have the approval from the Accounting or Human Resources Management, as described above, prior to the start of operations with third parties with a sample of the billing concepts being these:

a. Subcontracting: General Expenses of (month).
b. Provision of Services: Loan of services corresponding to (month) in accordance with the contract signed on (date).

4.13 Invoices from suppliers that do not comply with what is described in this policy will not be processed for payment by the Accounting department.

4.14 Service provider invoices must cover monthly periods, dated the last day of the current month. Canon will have a period of 30 calendar days to pay these bills.

4.15 Service providers should upload their invoices in pdf and xml format on the portal designated by Canon together with detailed support of the services provided and the documents identified in guideline 5.2 or 6.2 accordingly.

4.16 The billing together with the supporting documents will be audited for verification of calculations of tax obligations and validity of the information. The auditor selected by Canon must give his authorization for payment processing.

4.17 Service providers must:

a. Receive instructions and training of the personnel of your company selected for said activity;
b. Have a record of time in the control of inputs and outputs different from Canon employees; and
c. Include a badge (logo, credential, or others) visible from the employer in accordance with the guidelines determined by the Human Resources and Corporate Communication Departments.

Additionally, outsourcing service providers must provide Canon with their own manuals describing the obligations communicated to their employees;

4.18 Suppliers considered as providers of professional and subcontracting services must keep records of assistance in physical or digital documentation different from Canon Mexicana, S. de R.L. documentation.

4.19 Service providers that fail to comply with what is described in this policy will be subject of notifications of non-compliance, if this breach continues, a second notice will be given, and subsequently the cessation of operations with Canon will be determined by the Vice Presidency of Administration. Once it has been evaluated with interested parties.

About Service Providers:

5.1 The provision of services by suppliers must have the approval of the Accounting Management, prior to the signing of the contract.

5.2 In addition to the requirements indicated in section 4.9 above, the following additional requirements must be fulfilled for the provider scheme: Monthly support with description and folio of the detail of activities and their cost (monthly);

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b. Activity report as per requested by Canon employees (monthly);

c. Other deliverables requested in writing by the Legal or Accounting Department;

About Outsourcing service providers:

6.1 The provision of outsourcing service providers must have the approval of the Human Resources Management, prior to the signing of the contract.

6.2 In addition to the requirements indicated in section 4.9 above, the following requirements will be met for the subcontracting scheme:

a. Worker-employer fees for IMSS and INFONAVIT (monthly);

b. Compliance with the payment of the state payroll tax at the place of service provision, according to the requirements described in this policy (monthly);

c. Labor withholding of Income Tax (monthly); and

d. Notary registry of the contract prior to the provision of services;

e. List of staff in charge, attendance records, authorization of faults and incidents, details of the time of services provided, and registrations and cancellations of personnel in charge (monthly).

f. Other deliverables requested in writing by the Legal or Human Resources Department.

6.3 Service providers must have an employer registration in the state where the provision of services is performed.

The payment of the employees in charge of the service providers must be made from a bank account registered in the state where the services are provided.

7. Responsibilities of Canon Mexicana employees:

7.1 Canon employees must notify the Accounting and Legal Department within a period not exceeding 24 hours of the oral or written notification of the client's request regarding the withholding of the taxes described in article 1°A of the V.A.T Law.

That states, among other assumptions, the obligation to withhold the V.A.T. (6%) to the taxpayers if they fall under the following situations:

a. If they are constituted as companies that receive independent personal services, or temporarily use or enjoy assets, provided or granted by individuals, respectively.

b. If they are constituted as companies or individuals with business activities, who receive services which are made available to the contracting party or a related part, personnel who perform functions in the contractor's facilities or a related part of it or even outside of them, whether or not the personnel is under the direction of supervision, coordination or dependence of the contracting party, regardless of the name given to the contractual obligation. In this case the withholding will be made for 6% of the value of the consideration paid.

The retention referred in this article will not be carried out if on individuals or constituted companies obliged to pay the tax exclusively for the importation of goods.

7.2 It is the responsibility of the Canon employee requesting the provision of services to collect the documents described for operations with third parties.

7.3 Communication between customers and suppliers must be done through the assigned means of communication, and in the case of emails for any reason through a domain other than that of your employer.

It is acceptable to use a generic account that does not identify by any means the employee of the third party as their own employee.